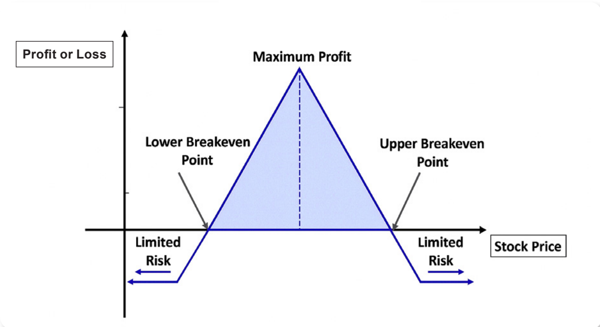
5.2.3 Iron butterfly

What a powerful name! Iron butterfly is a combination of short strangle and long straddle. It has limited risk and low margin requirements.

Example: Suppose you execute the following strategy.



Particulars	Strike Price	Price
Sell Nifty call	25,000	₹50
Sell Nifty put	25,000	₹80
Buy Nifty call	25,200	₹10
Buy Nifty put	24,800	₹15

The margin requirement here will be ₹1,00,000.
Let us calculate your costs and rewards.

Net premium received = ₹50 + ₹80 - ₹10 - ₹15 = ₹105
Risk = Spread – Net premium received = ₹200 - ₹105 = ₹95
Break-even range = 25,000 ± ₹105 = 25,105 to 24,895

Let us understand what happens in different scenarios.

Particulars	Nifty at 25,000	Nifty above 25,105	Nifty below 24,895
Outcome of selling Nifty 25,000 call	Premium of ₹50 captured	Loss = Nifty – 25,000 - ₹50	Premium of ₹50 captured
Outcome of selling Nifty 25,000 put	Premium of ₹80 captured	Premium of ₹80 captured	Loss = 25,000 – Nifty - ₹80